

CASE STUDY 3

Digital Performance Re-Engineering Blueprint

SUBWAY CASE STUDY

PROGRAMMATIC STRATEGY

Strategic Context

Despite strong global brand equity, Subway operates in a digitally competitive QSR ecosystem dominated by brands investing heavily in mobile personalization, programmatic precision, and app-led loyalty ecosystems such as McDonald's and Starbucks.

This case study evaluates digital inefficiencies from a **programmatic performance architecture perspective**, not a branding lens.

Objective

Re-engineer Subway's paid media and audience infrastructure using signal-based targeting, DSP-led execution, and data-backed bid optimization.





Diagnostic: Structural Performance Gaps

Current State Analysis

Subway's digital campaigns rely heavily on generic discount messaging with limited audience-layer differentiation. Critical underutilization exists across behavioral segmentation, dynamic creative personalization, multi-stage retargeting flows, and cross-device attribution modeling.

- Audience Architecture

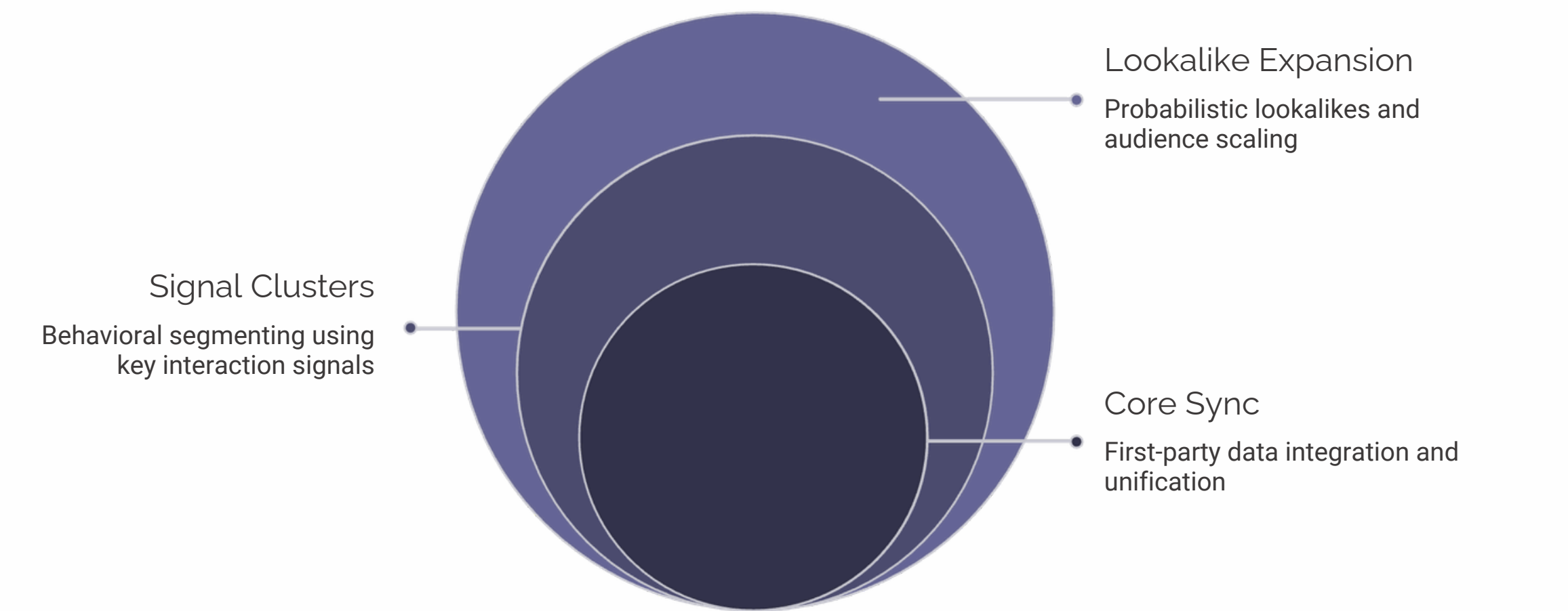
No clear separation between TOFU, MOFU, and BOFU user pools limits funnel optimization
- Data Enrichment

Limited use of first-party data enrichment reduces targeting precision
- Creative Strategy

Static creative across varied audience intent clusters decreases relevance
- Attribution & Frequency

Weak post-click tracking and inefficient frequency capping logic
- ☐ **Impact:** Reduced auction competitiveness, higher CPA, and diluted audience relevance across digital channels.

Signal-Based Targeting Model



Proposed Audience Intelligence Framework

This shifts targeting from demographic assumptions to behavioral probability scoring.

01

First-Party Data Sync

CDP/DMP integration: loyalty app behavior, online order frequency, coupon redemption history, geo-location clustering

02

Behavioral Signal Clustering

Segment by time-of-day purchase patterns, device preference, menu clusters, past engagement depth

03

Lookalike Expansion

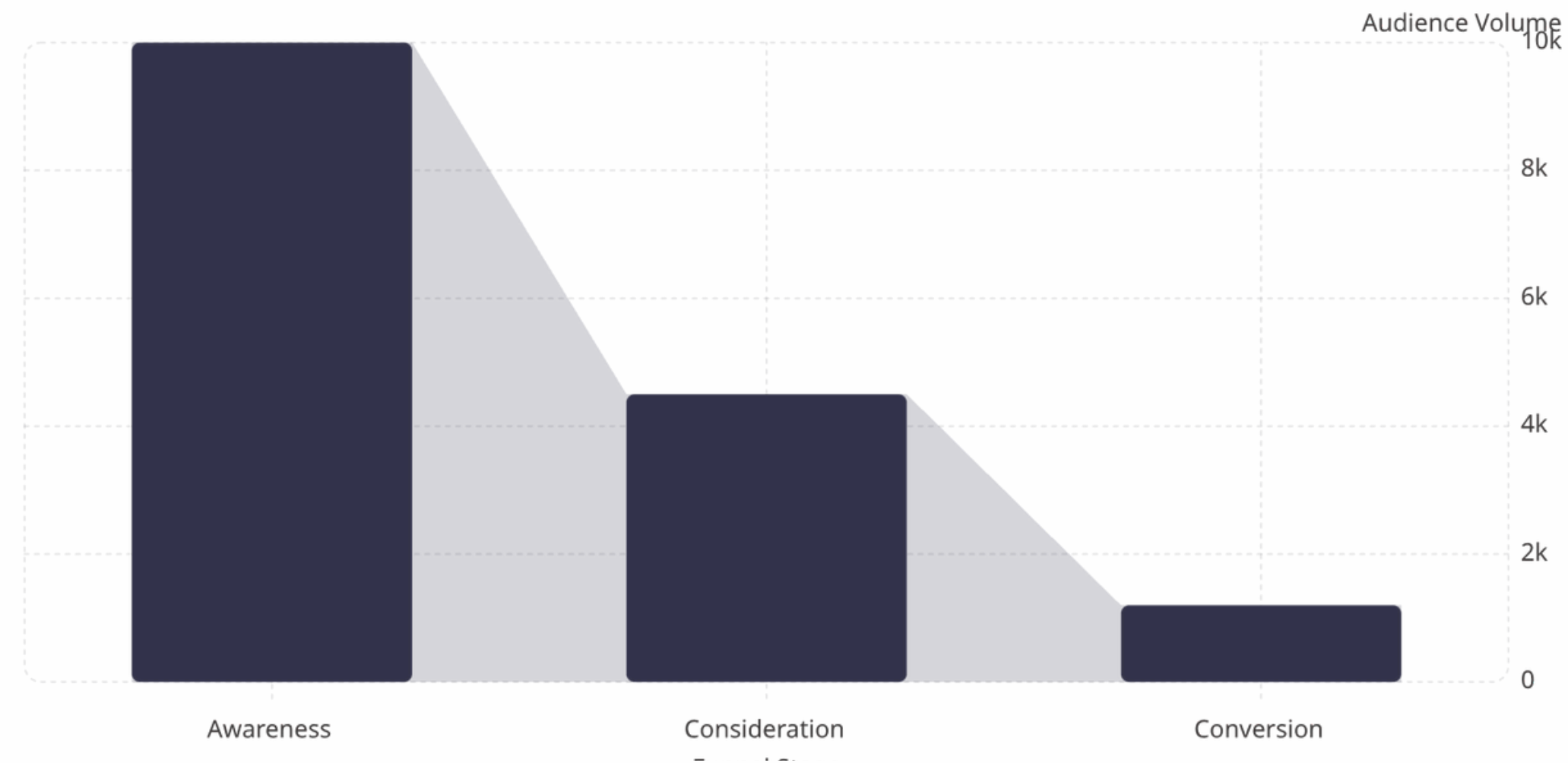
Expand high-LTV clusters via DSP modeling and probabilistic scoring

Programmatic Execution Architecture

Funnel-Based Execution Model

12%

Total conversion rate



Channel Strategy by Stage

- 1

Awareness
YouTube + Programmatic Display via DSP
- 2

Consideration
High-intent display + Social retargeting
- 3

Conversion
Search + Dynamic retargeting

Execution Tools

- DSP for RTB inventory access
- User-level frequency capping
- Bid shading for auction efficiency
- Dynamic Creative Optimization (DCO)
- Cross-device ID resolution

Result: Auction-intelligent performance, not impression-heavy spending.

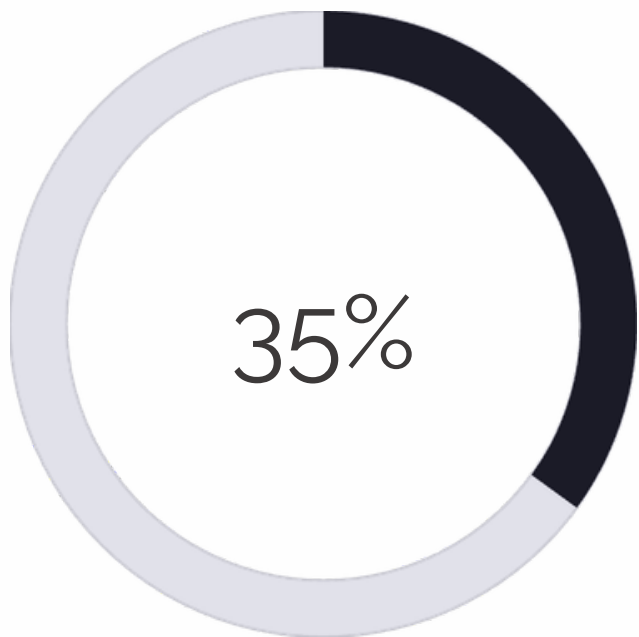
Dynamic Creative Optimization Strategy

Creative Variability Model

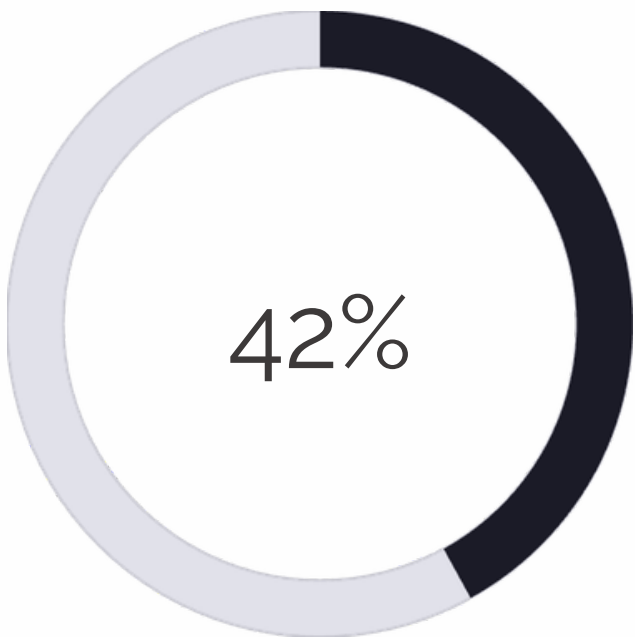
Instead of one generic discount ad, create modular variations based on real-time signals and behavioral triggers.

- Location
- Time-of-day
- Menu interest
- Weather triggers
- Loyalty tier

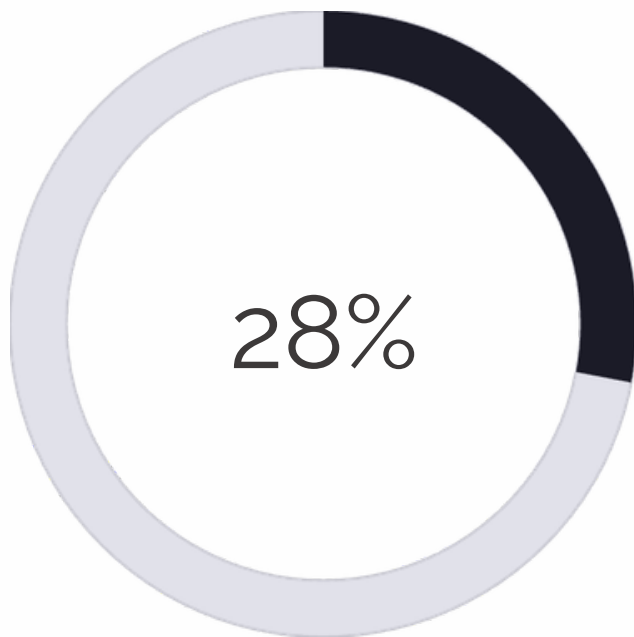
Impact Metrics



Ad Relevance Score
Improved platform quality ratings



Reduced Fatigue
Lower frequency-driven drop-off



CTR Uplift
Higher engagement rates

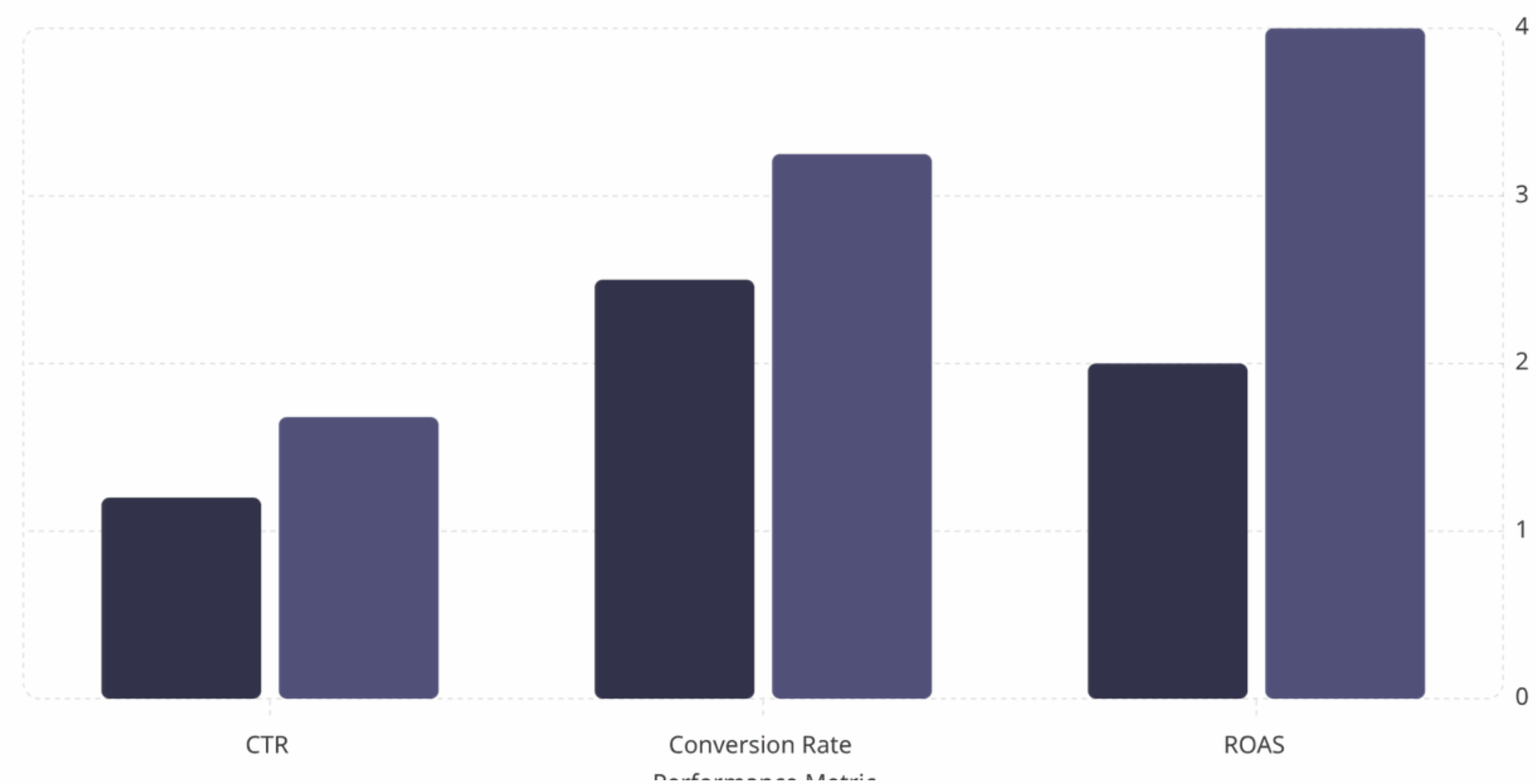
Creative assets auto-assemble in real time via DCO engine, delivering personalized experiences at scale.

Performance Forecasting

 BENCHMARK-ALIGNED

Based on QSR industry benchmarks and segmentation-driven campaign case patterns, structured audience layering combined with DCO typically improves ad relevance and bidding efficiency within 60–90 days of optimization cycles.

 Current Baseline  Projected State



Projected Improvements

25-40%

CTR Uplift

Enhanced ad relevance drives higher engagement

18-30%

Conversion Rate

Better audience targeting improves conversion

15-25%

CPA Reduction

Efficient bidding lowers acquisition costs

3.8-4.2X

ROAS Potential

Doubled return on ad spend efficiency

Strategic Competency Reflection



Behavioral Segmentation
Advanced audience architecture design



DSP Auction Logic
Programmatic efficiency understanding



Funnel Alignment
Stage-specific targeting precision



Bid Strategy Modeling
Data-driven optimization frameworks



Creative Personalization
DCO-powered relevance at scale



Performance Forecasting
Benchmark-grounded projections

"Programmatic excellence is not about buying impressions — it is about interpreting behavioral signals, engineering precision targeting, and letting automation amplify strategic intelligence."